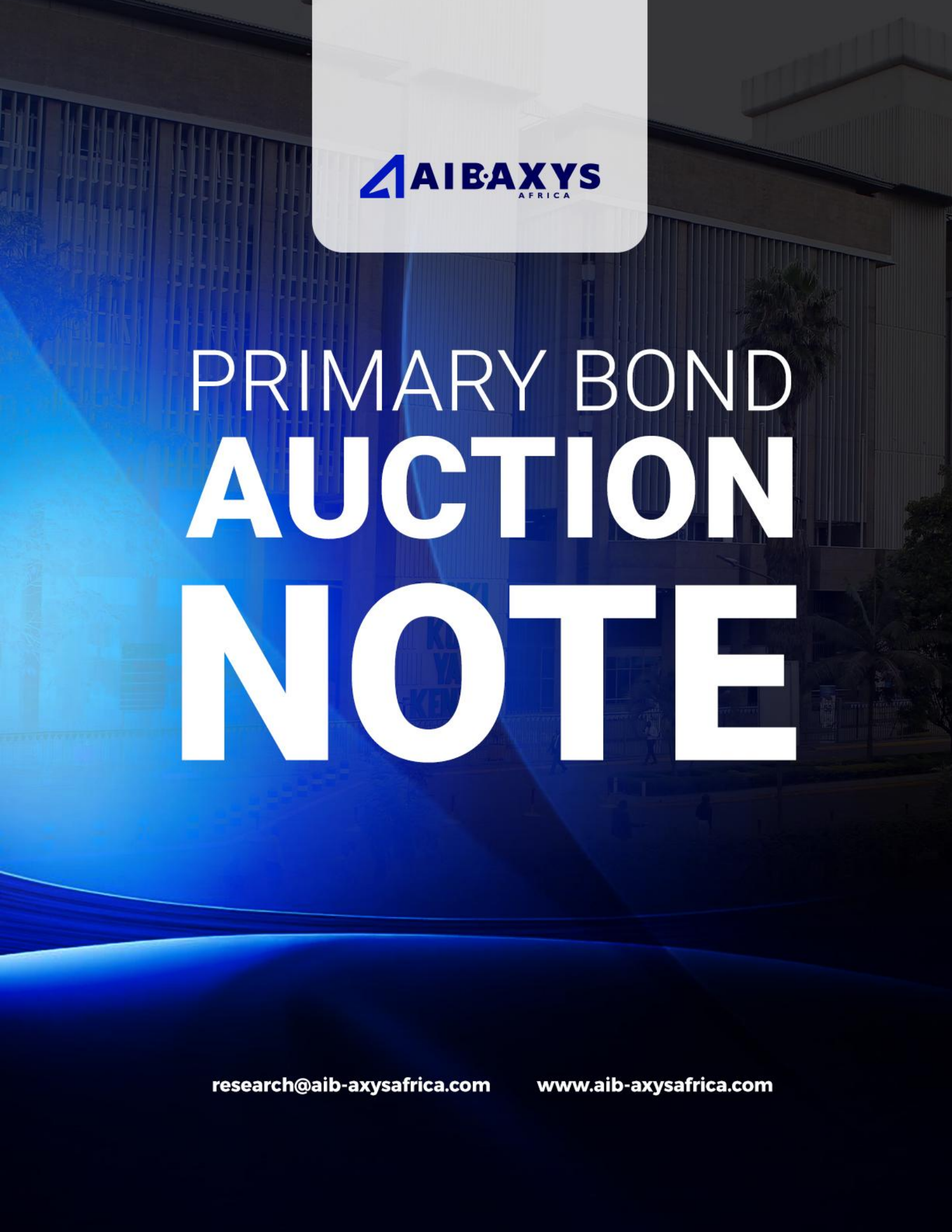

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AIB-AXY April 2026 Primary Bond Auction Note II

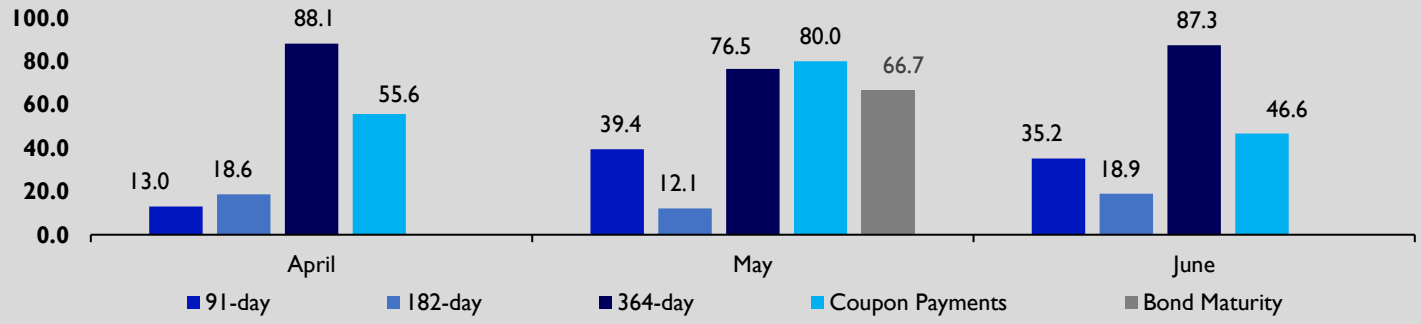
Summary

- **The Exchequer is seeking to raise KES 20.00Bn through the re-opening of the SDB1/2011/030 and a new issuance; FXD1/2026/030** treasury bonds earmarked for budgetary support in FY25/26.
- April presents approximately KES 175.30 Bn in debt obligations. Earlier in the month, the fiscal agent managed to raise KES 50.19 Bn through two bond re-openings. Key to mention, the latest switch auction managed to switch KES 1.76 Bn, although there was significant undersubscription. The target amount for the switch was KES 20.00 Bn, while the fiscal agent received KES 2.56 Bn, translating to a performance rate of 12.8%.
- Authorities seem keen to implement the Annual Borrowing Plan, this time looking to execute a new issuance after numerous re-openings and no new issuance through FY'25. In this new issuance, authorities have already set a coupon of 12.5000%, slightly higher than 12.0000% for the concurrent SDB1/2011/030, which was issued in 2011, also with a tenor of 30 years and now has a remaining maturity of 14.9 years. In this auction, we expect the government to continue its trend of rejecting aggressive bidding, noting that recent auctions in the market have given authorities a chance to front-load their borrowing position from the excess liquidity in the market
- **Our recommended competitive bidding yield is indicated in Table 1 on the right.**

Table 1: Key Auction Highlights

SDB1/2011/030 & FXD1/2026/030	
Issuer:	Republic of Kenya
Total Amount:	KES 20.0 billion
Purpose:	Budgetary Support
Tenor:	**SDB1/2011/030** - (14.9 Years)– Re-opened **FXD1/2026/030** - (30 Years)– New Issuance
Coupon Rate:	**SDB1/2011/030** – 12.0000% **FXD1/2026/030** – 12.5000%
Price Quote:	Discounted/Premium/Par
Period of sale:	7th April 2026 to 15th April 2026
Minimum Amount:	KES 50,000.00
Taxation:	10.00%
Maturity Dates:	**SDB1/2011/030** – 21st -Jan-2041 **FXD1/2026/030** – 13th -March-2056
Non-competitive bids per CSD A/C:	Maximum KES 50 million per CDS A/c
Competitive bid per CSD A/C:	Minimum KES 2 million per CDS A/c
AIB-AXYS Competitive Bidding Range Recommendation:	**SDB1/2011/030 – 12.85%-13.15%** **FXD1/2026/030 –13.50%-13.80%**

Governmnent Obligations Q2 2026 in KES Bn



Source: CBK, AIB-AXYS Africa Research

Term Structure of Interest Rates

Yield curve normalization has continued during Q1 as we had expected, with gradual moderation. The long end of the curve has posted the largest declines, approximately 49.35 bps on a YTD basis. In the midsection, the 5-year and 6-year benchmarks have posted gains

The MPC decided to hold rates stable after consecutive rate cuts since August 2024. In our previous note, we noted that the monetary policy path was quite unclear, given the Middle East conflict, which may introduce higher inflationary pressures. We had priced in at least 3–4 cuts for the year, while the committee has already implemented one cut in February and signaled headroom for further cuts. Much of the policy path will depend on how inflation plays out, particularly in the event of a prolonged conflict in the Middle East. If there is a long-lasting solution in the Middle East, we are of the view that the committee should resume rate cutting, and yield curve normalization should continue.

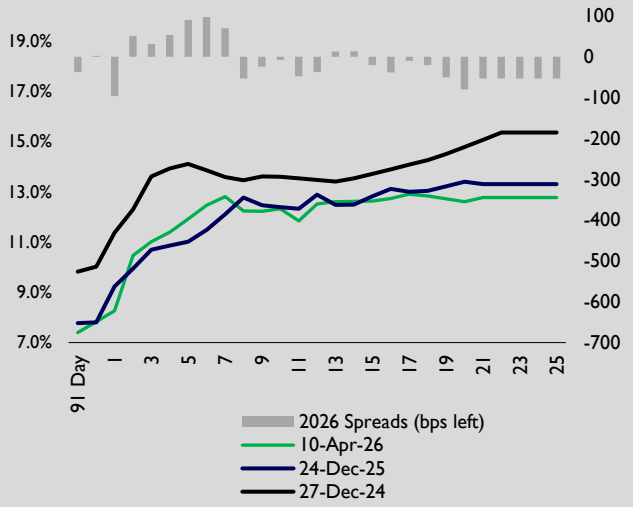
Market Liquidity

The Kenya Shilling Overnight Interbank Average (KESONIA) eased further to 8.7% in March from 8.8% in February. The easing was driven by the 25 bps reduction in the Central Bank Rate in February, coupled with a further tightening of the interest rate corridor by 25 bps to 50 bps from 75 bps.

Price Levels

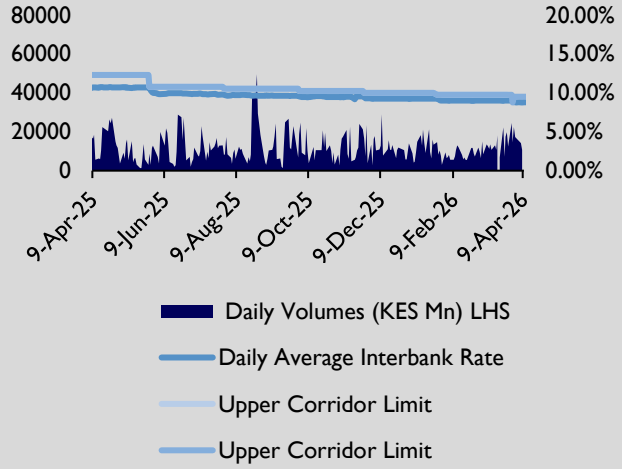
March inflation edged up to 4.4%, slightly higher than 4.3% recorded in February and within our expectations of 4.2%–4.4%, reflecting continued price stability within the CBK target band. Food inflation rose to 7.7%, driven by higher prices of key items such as tomatoes and beef, while fuel-related inflation remained contained, with pump prices largely unchanged during the period. Core inflation (Non-food Non-fuel) remained stable at 2.1%, indicating muted demand-side pressures. On a month-on-month basis, inflation rose by 0.5%. We expect inflation to remain broadly anchored in the near term, supported by stable food supply and contained demand conditions. However, fuel prices in the upcoming review may introduce upward pressure, particularly amid ongoing geopolitical tensions in the Middle East. While the G2G program may help cushion supply-side disruptions, it is unlikely to fully offset potential increases in global oil prices.

Chart 2: Domestic Yield Curve Evolution



Source: CBK, AIB-AXYS Africa Research

Chart 3: Interbank Rate and Volumes



Source: CBK, AIB-AXYS Africa Research

Chart 4: Price Levels

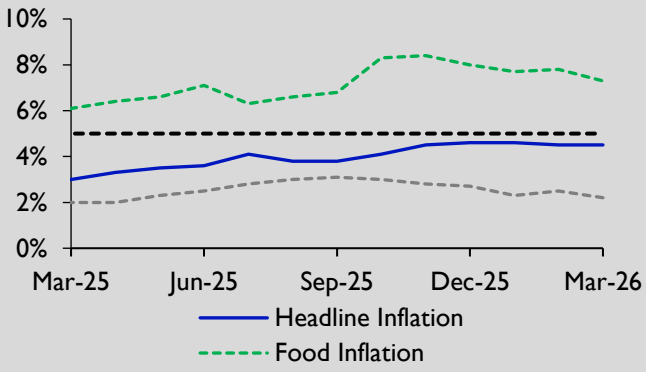
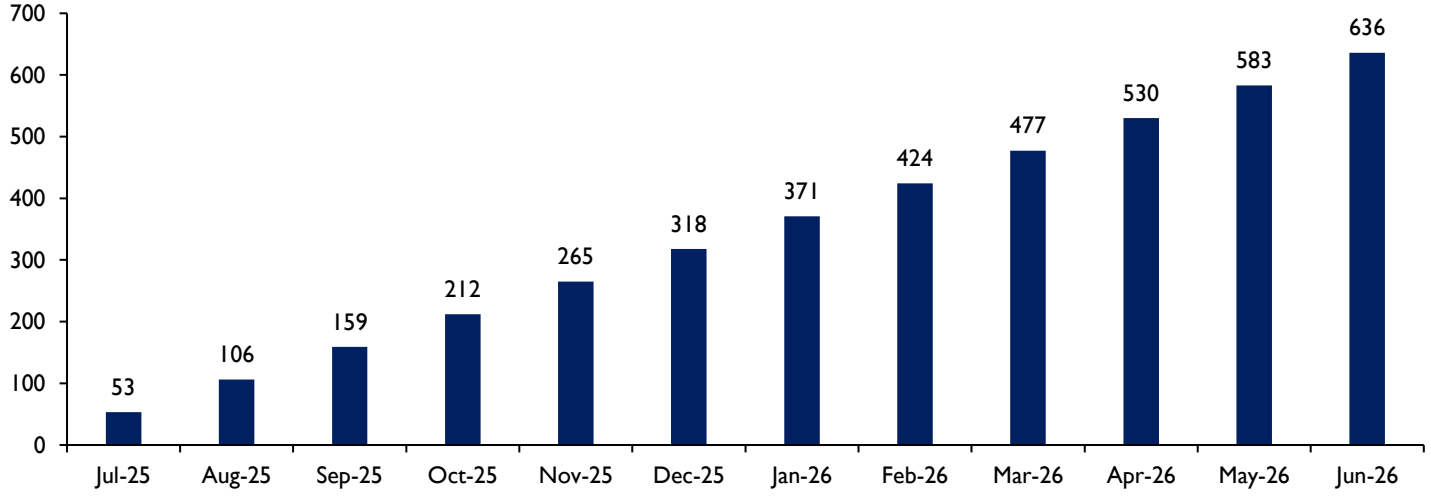


Table 2: Comparable Bond Duration Yields

Issue No.	Maturity Date	Remaining Tenor in Years	Outstanding Amount KES Mn.	Fixed Coupon Rate	Implied Yield to Maturity
Comparable Yields for the SDB1/2011/030 - (14.9Years)					
FXD1/2019/020	21-Mar-2039	12.98	148,884.78	12.8730%	12.6140%
SDB1/2011/030	**21-Jan-2041**	**14.8**	**50,878.50**	**12.0000%**	**12.8000%**
FXD1/2021/030	22-July-2041	15.3	129,934.10	13.4440%	12.6319%

Source: CBK, AIB-AXYS Africa Research

FY25/26 Domestic Borrowing Target (KES Bn)



Source: CBK, AIB-AXYS Africa Research

CBK Previous Primary Bond Auctions

	Offered Amount (KES, Mn)	Paper(s)	Duration at Issuance (yrs)	Performance Rate	Coupon Rate (%)	Market Average Yield (%)	Accepted Average Yield (%)
May-25	50,000	FXD1/2022/015 Re-opened	12.0		13.942%	13.942%	13.913%
		FXD1/2022/025 Re-opened	22.5	**114.2%**	14.188%	14.636%	14.538%
	30,000	FXD1/2012/020 Re-opened	7.6	**181.3%**	12.000%	13.733%	13.649%
Jun-25	50,000	FXD1/2020/015 Re-opened	9.7		12.756%	13.606%	13.487%
		SDB1/2011/030 Re-opened	15.7	**202.7%**	12.000%	14.181%	13.998%
Jul-25	50,000	FXD1/2018/020 Re-opened	12.8		13.200%	13.945%	13.899%
		FXD1/2018/025 Re-opened	18.0	**153.8%**	13.400%	14.435%	14.348%
Aug-25	90,000	IFB1/2028/015 Re-opened	7.5		12.500%	13.530%	12.993%
		IFBI/2022/019 Re-opened	15.6	**359.4%**	12.965%	14.237%	13.999%
		IFB1/2028/015 Tapsale	7.5		12.000%	13.530%	
		IFBI/2022/019 Tapsale	15.6	**414.9%**	12.965%	14.237%	
Sep-25	40,000	FXD1/2018/020 Re-opened	12.5		13.200%	13.724%	13.080%
		FXD1/2022/025 Re-opened	22.2	**243.2%**	14.188%	14.246%	12.782%
Oct-25	50,000	FXD1/2018/015 Re-opened	7.7		12.750%	12.652%	12.385%
		FXD1/2021/020 Re-opened	15.9	**237.8%**	13.444%	13.529%	13.310%
Nov-25	40,000	FXD1/2012/020 Re-opened	7.0		12.000%	12.638%	12.471%
		FXD1/2022/015 Re-opened	11.4	**232.3%**	13.994%	13.467%	13.339%
	40,000	FXD3/2018/015 Re-opened	8.7		12.340%	12.746%	12.574%
		FXD1/2022/025 Re-opened	21.9	**289.7%**	14.188%	13.848%	13.746%
Dec-25	40,000	SDB1/2011/030 Re-opened	15.2		12.000%	13.439%	13.325%
		FXD1/2021/025 Re-opened	20.4	**132.8%**	13.924%	13.643%	13.620%
Jan-26	60,000	FXD1/2019/20 -Reopened	13.2		12.873%	13.329%	13.262%
		FXD1/2022/025 Re-opened	21.8	**119.2%**	14.188%	13.791%	13.756%
Feb-26	50,000	FXD3/2019/015 Re-opened	8.4		12.340%	12.388%	12.184%
		FXD1/2018/025 Re-opened	17.3	**427.5%**	13.400%	13.450%	13.362%
Mar-26	60,000	FXD1/2019/20 -Reopened	13.1		12.873%	12.786%	12.748%
		FXD1/2021/025 Re-opened	20.1	**195.7%**	13.924%	13.361%	12.949%
Apr-26	40,000	FXD1/2020/015- Re-opened	8.9		12.756%	12.272%	12.185%
		FXD1/2018/025 Re-opened	17.3	**187.2%**	13.400%	13.179%	12.987%
Average*	**50,000**		**14.2**	**219.8%**	**13.138%**	**13.509%**	**13.292%**

*Source: CBK, AIB-AXYS Research, *- Yearly average results excludes tap sales*



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